Morgan Stanley | RESEARCH

UPDATE

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GlobalFoundries Inc | North America

AI strength, mobile weakness accelerating diversification story

MORGAN STANLEY & CO. LLC

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WHAT'S CHANGED

GlobalFoundries Inc (GFS.O)	From	To
Price Target	$57.00	**$60.00**

AlphaSignals Earnings Reaction

Unchanged	Modest upside	Modest revision higher
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

We think the positives outweigh the negatives for GFS this quarter even as overall ests don't change much. A weaker smartphone environment sooner than expected can become a clearing event for GFS, as the remaining business lines carry better margins and growth profiles.

Key Takeaways

- Q2 revenue of $1.8bn beat high end of guidance; Q3 guide of $1.89bn implies another strong q/q step-up
- SiGe oversubscribed through 2027 and capacity expanding in Vermont; 7 new optical design wins in Q2 across pluggable suppliers and hyperscalers
- CID growth raised to 50-60% for 2026; silicon photonics on track for $1bn run rate exiting 2028
- Trailing edge conditions improving along with GFS exposure; but at 25x run rate EPS improvement will need to be quicker to warrant additional enthusiasm

GFS quarter/outlook were slightly ahead of consensus, with strength in SiPho and other AI technologies offsetting headwinds in mobile. Overall our 2026/2027 topline numbers don't change much, but the mix of AI is higher, and the trajectory around optics/cpo/npo continues to strengthen. GFS raised it's CID segment growth outlook from high-30s prior to 50-60% with improving visibility into 2027 across SiGe and SiPho. There's always risk of an overbuild given the number of suppliers all ramping hard to capture demand, but its our sense that we still have several innings remaining, especially with NPO and CPO technologies set to dramatically increase optical content in the coming years.

Improving utilizations are also helping drive pricing higher. A quarter ago we were concerned that expectations around foundry undersupply were getting ahead of themselves given the correction ahead for consumer oriented markets. Now in the midst of that correction utilization conditions look like they will continue to improve. At UMC, Vanguard, Tower, and now GFS utilizations are all in the range of

GlobalFoundries Inc (GFS.O, GFS US)

Semiconductors | United States of America

Stock Rating	**Equal-weight**
Industry View	**Attractive**
Price target	**$60.00**
Shr price, close (Aug 5, 2026)	$49.46
Mkt cap, curr (mm)	$28,001
52-Week Range	$92.55-31.51

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS ($)**	1.73	2.00	2.44	3.28
Prior EPS ($)**	-	1.94	2.39	2.98
P/E	22.0	36.6	25.6	17.8
EPS ($)§	1.64	1.90	2.48	3.22
Div yld (%)	-	0.5	1.0	1.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS ($)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	0.34	-	0.40a	0.46	0.45
Q2	0.42	-	0.46a	0.53	0.56
Q3	0.42	0.48	0.51	0.60	0.64
Q4	0.55	0.64	0.63	0.81	0.79

e = Morgan Stanley Research estimates, a = Actual Company reported data

90% or above in 2Q, and utilizations across our broad IDM analog coverage continue to increase. Fabs are by no means full everywhere, but pricing is quickly becoming a tailwind for lagging edge foundries even with what should be a material slowdown in high volume PC/mobile markets in the second half.

As previewed, mobile numbers are coming down meaningfully in the second half, but should be viewed as a positive. GFS prior outlook for mobile was for a decline slightly better than overall smartphone units (we modeled -8%), they lowered that today to a low teens decline, and given only a modest decline in the first half (-5% y/y) that implies a significant fall-off in Q3/Q4. We think the QCOM reset at Apple is likely playing a role, but there are broader market headwinds as well. That's accelerating the diversification process, and mobile could move from 41% in Q2 to below 30% of wafer revenues sometime next year, putting the overall company on a higher growth trajectory going forward.

Thoughts on the stock:

We like the setup much better for GFS following a 45% correction, mobile numbers are finally derisked following the QCOM reset at Apple, AI related revenues are higher, and we're closer to seeing the numbers impact of the pricing actions that drive the stock close to $90 in the first place. We don't neccessarly view the stock as a value at 21x our new CY27 EPS, for double digit topline growth in competitive markets but there's a compelling convergence of tailwinds around AI, CPO, and reshoring which should help support above market growth from here. While the majority of capacity is still in Singapore, unitization is now at a much healthier level and incremental wafers are going to increasingly come from geographies like Germany and the US where GFS differentiation is higher. There will be competition for that business, but demand is high – and for many, partnering with GFS will be the most straightforward access to domestic supply.

We argue for a premium multiple vs. Asia competitors - for a couple of reasons. 1) We expect outsized growth around these dynamics, as geopolitics and the change in management style open up new opportunities; and 2) we continue to see material gross and operating margin leverage longer term, as the company replaces a book of business won before 2019 (wins that were mostly based on competitive pricing) with higher-margin, stickier business. That transition is taking time, but it is happening, and with geopolitical assurances growing in importance we still see a premium multiple for the current stream of income that's mostly unaffected by those tailwinds.

Details on the June quarter: Revenue came in at $1,786mn (up 9.3% q/q and up 5.8% y/y), above the Street at $1,764mn and our est of $1,761mn. Gross margin was 29.9% (up 89bps q/q and up 472bps y/y) compared to the Street at 28.2% and our est of 28.5%. Finally, EPS of $0.46 was above the Street at $0.43 and our est of $0.42.

September quarter guidance: GF guided revenue to $1,860-1,910mn, or $1,885mn at the midpoint (up 5.5% q/q and up 11.7% y/y), above the Street at $1,876mn and our est of $1,817mn. Gross margin guidance of 30.5% at the midpoint (up 60bps q/q and up 449bps y/y) came in above the Street at 29.2% and our est of 29.5%. Finally, EPS guidance of $0.51 at the midpoint was above the Street at $0.49 and our est of $0.48.

Estimates move higher for CY26, slightly lower for CY27: For the next quarter, we model in-line with the company's guidance with revenue of $1.885bn, adj. gross margins of 30.5%, and adj. EPS of $0.51. For CY26, our revenue, adj. gross margin and adj. EPS estimates go from $7.250bn/29.6%/$1.94 to $7.276bn/30.4%/$2.00. Looking at CY27, we now estimate revenue, adj. gross margin and adj. EPS of $8.038bn/34.4%/$2.44 compared to our prior estimates of $8.065bn/31.9%/$2.39, with higher margins offset by lower revenue and EPS.

In terms of our PT, we are decreasing our multiple assumption slightly from ~27x CY27e to ~25x CY27e as unpredictable mobile headwinds persist, somewhat offsetting the improved mix towards higher margin auto/dc end markets. 25x is remains above primary Asia comps UMC (16x) and TSMC (18x), but below the more AI exposed TSEM. On our slightly higher CY27 EPS, our PT comes up to $60 vs $58 prior. *UMC and TSMC are both covered by Morgan Stanley analyst Charlie Chan. Tower Semi is not covered by MS research.*

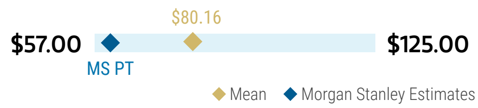
Risk Reward – GlobalFoundries Inc (GFS.O)

High strategic value, but slower end market recovery limits near-term upside

PRICE TARGET $60.00

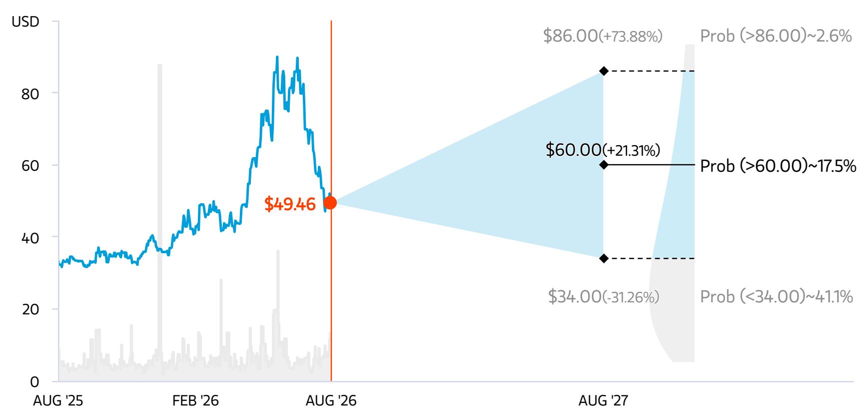
~25x 2027e EPS of US$2.44 – a premium to trailing edge foundry peers in Asia; in line with US semiconductor customers.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



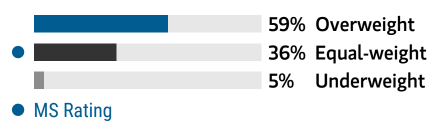
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 5 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

EQUAL-WEIGHT THESIS

- We like GlobalFoundries' positioning as the only scale pure-play US foundry with room for margin improvement. We also like that the company is focusing on pervasive semiconductors with fast-growing end markets for which capex and costs are lower than peers', focusing on trailing edge process technology development. GFS also has majority sole-sourced business and meaningful long-term commitments.
- We see substantial strategic value for GFS within the context of global geopolitical and trade tensions. This is also a positive for business opportunities.
- But benefits need to be weighed against the slower semi market recovery and more challenging competitive backdrop, leaving RR more balanced.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Self-help: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $86.00

~28x 2027e EPS of US$3.08

- Revenue grows to **US**$8.842bn in 2027.

- Mix shift improvement is better than expected and increased revenue provides greater economies of scale - gross margins increase to 36.1% in 2027.

- Due to greater revenue growth, operating margins improve more quickly to 22.6% in 2027.

- Strategic value increases as US competition struggles to take market share and geopolitical trade tensions increase, driving multiple expansion.

BASE CASE $60.00

~25x 2027e EPS of US$2.44

- Revenue grows to US$8.038bn in 2027.

- Positive mix shift and scaling effects lead to gross margin improvement to 34.4% in 2027.

- Mix shift and cost savings initiatives expand operating margin to 19.6% in 2027.

BEAR CASE $34.00

~20x 2027e EPS of US$1.72

- Revenue grows to US$7.234bn in 2027.

- Mix shift is more challenging and scaling effects are reduced - gross margins expand more modestly to 31.4% in 2027.

- Due to less revenue growth, and thus less operating leverage effects, operating margins improve more slowly to 16.1% in 2027.

- Strategic value falls as geopolitical tensions ease and US competition strengthens, driving multiple compression.

Risk Reward – GlobalFoundries Inc (GFS.O)

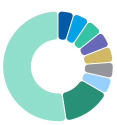
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
GAAP Revenue ($, mm)	6,791	7,276	8,038	9,170
Adjusted Gross Margin (%)	26.1	30.4	34.4	37.4
Adjusted Net Income ($, mm)	965	1,117	1,356	1,832
Adjusted EBITDA ($, mm)	1,919	2,508	2,978	3,631

INVESTMENT DRIVERS

- Rapid growth in automotive, IoT, and Mobile end markets
- Margin improvement due to scaling and mix shift
- Sticky revenue due to sole sourced business and long-term agreements
- Strategic geographic value

GLOBAL REVENUE EXPOSURE



0-10%	Europe ex UK
0-10%	India
0-10%	Japan
0-10%	Latin America
0-10%	MEA
0-10%	Mainland China
0-10%	UK
10-20%	APAC, ex Japan, Mainland China and India
50-60%	North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Supply sourcing shifts more rapidly from Asia to USA (GFS).
- Tight market persistence and stronger government lift revenue, allowing for more strategic mix shift and greater economies of scale.

RISKS TO DOWNSIDE

- End-market demand improves less slowly, putting pressure on revenue.
- Mix shift improves less, dampening gross margin expansion.
- Current 12nm+ end markets migrate to 10nm.

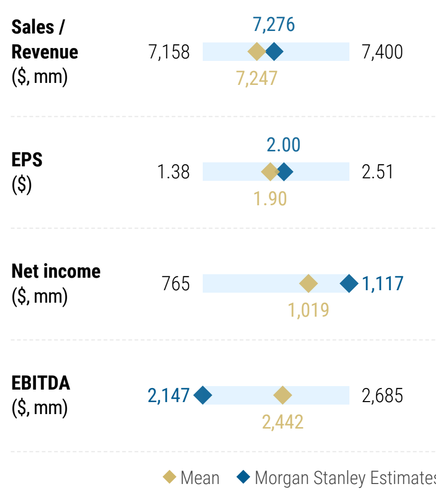
OWNERSHIP POSITIONING

Inst. Owners, % Active	95.3%
HF Sector Long/Short Ratio	2.1x
HF Sector Net Exposure	29.5%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Financial Summary

Exhibit 1: GFS Income Statement Snapshot

GFS-US: Snapshot for the quarter ended June 2026

Income Statement									
Qtr Results:	**Actual**			**Lst Qtr**	**QoQ**	**Lst Yr**	**YoY**	**Cons**	**Mse**
Revenue	$1,786.0			$1,634.0	*9.3%*	$1,688.0	*5.8%*	$1,764.1	$1,761.4
Gross Margin	*29.9%*			*29.0%*	89 bps	*25.2%*	472 bps	*28.2%*	*28.5%*
EPS*	$0.46			$0.40	$0.06	$0.42	$0.04	$0.43	$0.42
Nxt Qtr Outlook:	**Low**	**High**	**Midpoint**				**Next Q Estimate**		
Revenue	$1,860.0	$1,910.0	$1,885.0		*5.5%*	$1,688.0	*11.7%*	$1,876.3	$1,816.6
Gross Margin	29.5%	31.5%	*30.5%*		60 bps	*26.0%*	449 bps	*29.2%*	*29.5%*
EPS*	$0.46	$0.56	$0.51		$0.05	$0.42	$0.09	$0.49	$0.48

** EPS excludes stock-based compensation and extraordinary one-time items*

Source: Company data, Morgan Stanley Research estimates

Exhibit 2: GlobalFoundries: Actual vs. Estimates

Non-IFRS financials, $ in millions except per share

	Reported 2026/2F	MS Est 2026/2F	Difference Act. V Est.	Per share Difference
Total Revenue	1,786.0	1,761.4	24.6	0.04
Cost of Sales	1,252.0	1,259.4	(7.4)	(0.01)
Gross Profit	534.0	502.0	32.0	0.06
Gross Margin	29.9%	28.5%	1.4%	
R&D	144.0	121.9	22.1	0.04
SG&A	92.0	103.2	(11.2)	(0.02)
Other Opex (inc)	0.0	0.0	0.0	NM
Total Op Expenses	236.0	225.1	10.9	0.02
Operating Income	298.0	276.9	21.1	0.04
Operating Margin	16.7%	15.7%	1.0%	
Income tax	29.0	38.0	(9.0)	(0.02)
Net Income	256.0	234.9	21.1	0.04
EPS	$0.46	$0.42	$0.04	0.04
Diluted Shares Out.	556.0	561.0	(5.0)	

Source: Company data, Morgan Stanley Research estimates

Financial Statements

Exhibit 3: GlobalFoundries: Projected Income Statement

GlobalFoundries - Income Statement ($ in millions; fiscal year ends in December)	C2Q26E Jun-26 F2Q26E	C3Q26E Sep-26 F3Q26E	C4Q26E Dec-26 F4Q26E	C1Q27E Mar-27 F1Q27E	C2Q27E Jun-27 F2Q27E	C3Q27E Sep-27 F3Q27E	C4Q27E Dec-27 F4Q27E	FY2022A Dec-22 CY2022A	FY2023A Dec-23 CY2023A	FY2024A Dec-24 CY2024A	FY2025A Dec-25 CY2025A	FY2026E Dec-26 CY2026E	FY2027E Dec-27 CY2027E	FY2028E Dec-28 CY2028E
Wafer shipments	590	634	659	634	635	674	697	2,472	2,211	2,125	2,345	2,461	2,640	2,949
Implied avg. ASPs ($mn/kwpa)	$2.61	$2.50	$2.73	$2.58	$2.68	$2.63	$2.87	$2.95	$2.96	$2.87	$2.57	$2.58	$2.69	$2.69
										-3%	-11%	0%	4%	0%
Revenue	**1,761**	**1,817**	**2,038**	**1,868**	**1,939**	**2,012**	**2,246**	**8,108**	**7,392**	**6,750**	**6,791**	**7,250**	**8,065**	**8,909**
q/q change (%)	*7.8%*	*3.1%*	*12.2%*	*-8.3%*	*3.8%*	*3.8%*	*11.6%*							
y/y change (%)	*4.3%*	*7.6%*	*11.4%*	*14.3%*	*10.1%*	*10.8%*	*10.2%*	*23.1%*	*-8.8%*	*-8.7%*	*0.6%*	*6.8%*	*11.2%*	*10.5%*
Cost of revenue - IFRS	1,278	1,300	1,425	1,327	1,357	1,387	1,501	5,869	5,291	5,099	5,101	5,186	5,572	6,009
SBC related to cost of revenue	19	19	19	19	19	19	19	64	48	58	83	80	76	76
Cost of revenue - Non-IFRS	1,259	1,281	1,406	1,308	1,338	1,368	1,482	5,805	5,243	5,041	5,018	5,106	5,496	5,933
Cost of revenue - MW	1,278	1,300	1,425	1,327	1,357	1,387	1,501	5,869	5,291	5,099	5,101	5,186	5,572	6,009
Gross profit - IFRS	**483**	**517**	**613**	**541**	**582**	**625**	**745**	**2,239**	**2,101**	**1,651**	**1,690**	**2,064**	**2,493**	**2,899**
Gross margin - IFRS (%)	*27.4%*	*28.5%*	*30.1%*	*29.0%*	*30.0%*	*31.1%*	*33.2%*	*27.6%*	*28.4%*	*24.5%*	*24.9%*	*28.5%*	*30.9%*	*32.5%*
Gross profit - Non-IFRS	**502**	**536**	**632**	**560**	**601**	**644**	**764**	**2,303**	**2,149**	**1,709**	**1,773**	**2,144**	**2,569**	**2,975**
Gross margin - Non-IFRS (%)	*28.5%*	*29.5%*	*31.0%*	*30.0%*	*31.0%*	*32.0%*	*34.0%*	*28.4%*	*29.1%*	*25.3%*	*26.1%*	*29.6%*	*31.9%*	*33.4%*
Gross profit - MW	**483**	**517**	**613**	**541**	**582**	**625**	**745**	**2,239**	**2,101**	**1,651**	**1,690**	**2,064**	**2,493**	**2,899**
Gross margin - MW (%)	*27.4%*	*28.5%*	*30.1%*	*29.0%*	*30.0%*	*31.1%*	*33.2%*	*27.6%*	*28.4%*	*24.5%*	*24.9%*	*28.5%*	*30.9%*	*32.5%*
Total opex - IFRS	277	282	287	290	293	296	299	1,072	972	1,865	893	1,117	1,177	1,224
Total opex - Non-IFRS	225	230	235	246	249	252	255	860	780	789	707	893	1,001	1,048
Total opex - MW	277	282	287	290	293	296	299	978	901	1,863	893	1,117	1,177	1,224
Operating income - IFRS	**206**	**235**	**326**	**252**	**289**	**329**	**446**	**1,167**	**1,129**	**(214)**	**797**	**947**	**1,316**	**1,675**
Operating margin (%)	*11.7%*	*12.9%*	*16.0%*	*13.5%*	*14.9%*	*16.4%*	*19.9%*	*14.4%*	*15.3%*	*-3.2%*	*11.7%*	*13.1%*	*16.3%*	*18.8%*
Operating income - Non-IFRS	**277**	**306**	**397**	**315**	**352**	**392**	**509**	**1,443**	**1,369**	**920**	**1,066**	**1,251**	**1,568**	**1,927**
Operating margin (%)	*15.7%*	*16.8%*	*19.5%*	*16.8%*	*18.2%*	*19.5%*	*22.7%*	*17.8%*	*18.5%*	*13.6%*	*15.7%*	*17.3%*	*19.4%*	*21.6%*
Operating income - MW	**206**	**235**	**326**	**252**	**289**	**329**	**446**	**1,261**	**1,200**	**(212)**	**797**	**947**	**1,316**	**1,675**
Operating margin (%)	*11.7%*	*12.9%*	*16.0%*	*13.5%*	*14.9%*	*16.4%*	*19.9%*	*15.6%*	*16.2%*	*-3.1%*	*11.7%*	*13.1%*	*16.3%*	*18.8%*
Interest income (expense), net	(6)	9	9	10	10	10	10	(60)	12	56	66	26	40	40
% of revenue	*-0.3%*	*0.5%*	*0.4%*	*0.5%*	*0.5%*	*0.5%*	*0.4%*	*-0.7%*	*0.2%*	*0.8%*	*1.0%*	*0.4%*	*0.5%*	*0.4%*
Other income (loss)	2	-	-		-	-	-	425	(57)	(12)	48	(8)	-	-
Profit before tax - IFRS	**202**	**244**	**335**	**262**	**299**	**339**	**456**	**1,532**	**1,084**	**(170)**	**911**	**965**	**1,356**	**1,715**
Profit before tax - Non-IFRS	**273**	**315**	**406**	**325**	**362**	**402**	**519**	**1,808**	**1,324**	**964**	**1,180**	**1,269**	**1,608**	**1,967**
Profit before tax - MW	**202**	**244**	**335**	**262**	**299**	**339**	**456**	**1,626**	**1,155**	**(168)**	**911**	**965**	**1,356**	**1,715**
Income tax expense (benefit)	38	45	45	65	65	65	65	86	66	92	23	209	260	280
Effective tax rate (%) - IFRS	*18.8%*	*18.5%*	*13.4%*	*24.8%*	*21.7%*	*19.2%*	*14.3%*	*5.6%*	*6.1%*	*-54.1%*	*2.5%*	*21.7%*	*19.2%*	*16.3%*
Statutory tax rate (%)	*21.0%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*
1x tax expense (benefit)	-	-	-	-	-	-	-	(5)	(7)	(2)	(192)	32	-	-
Net income, continuing operations - IFRS	**164**	**199**	**290**	**197**	**234**	**274**	**391**	**1,441**	**1,011**	**(264)**	**696**	**788**	**1,096**	**1,435**
Net margin (%)	*9.3%*	*10.9%*	*14.2%*	*10.5%*	*12.1%*	*13.6%*	*17.4%*	*17.8%*	*13.7%*	*-3.9%*	*10.2%*	*10.9%*	*13.6%*	*16.1%*
Net income, continuing operations - Non-IFRS	**235**	**270**	**361**	**260**	**297**	**337**	**454**	**1,717**	**1,251**	**870**	**965**	**1,092**	**1,348**	**1,687**
Net margin (%)	*13.3%*	*14.8%*	*17.7%*	*13.9%*	*15.3%*	*16.8%*	*20.2%*	*21.2%*	*16.9%*	*12.9%*	*14.2%*	*15.1%*	*16.7%*	*18.9%*
Net income, continuing operations - MW	**164**	**199**	**290**	**197**	**234**	**274**	**391**	**1,535**	**1,082**	**(262)**	**696**	**788**	**1,096**	**1,435**
Net margin (%)	*9.3%*	*10.9%*	*14.2%*	*10.5%*	*12.1%*	*13.6%*	*17.4%*	*18.9%*	*14.6%*	*-3.9%*	*10.2%*	*10.9%*	*13.6%*	*16.1%*
Income (loss) from discontinued operations	-	-	-	-	-	-	-	-	-	-	(1)	-	-	-
Non-Controlling Interest	-	-	-	-	-	-	-	-	(2)	3	3	-	-	-
Net income - IFRS	**164**	**199**	**290**	**197**	**234**	**274**	**391**	**1,446**	**1,018**	**(260)**	**890**	**756**	**1,096**	**1,435**
Net margin (%)	*9.3%*	*10.9%*	*14.2%*	*10.5%*	*12.1%*	*13.6%*	*17.4%*	*17.8%*	*13.8%*	*-3.9%*	*13.1%*	*10.4%*	*13.6%*	*16.1%*
EPS - IFRS	$ 0.29	$ 0.35	$ 0.51	$ 0.35	$ 0.42	$ 0.49	$ 0.69	$ 2.62	$ 1.83	$ (0.47)	$ 1.59	$ 1.35	$ 1.95	$ 2.54
EPS - Non-IFRS	**$ 0.42**	**$ 0.48**	**$ 0.64**	**$ 0.46**	**$ 0.53**	**$ 0.60**	**$ 0.81**	**$ 3.11**	**$ 2.25**	**$ 1.57**	**$ 1.73**	**$ 1.94**	**$ 2.39**	**$ 2.98**
EPS - MW	$ 0.29	$ 0.35	$ 0.51	$ 0.35	$ 0.42	$ 0.49	$ 0.69	$ 2.78	$ 1.95	$ (0.47)	$ 1.25	$ 1.40	$ 1.95	$ 2.54

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: GlobalFoundries: Projected Balance Sheet

GlobalFoundries - Balance Sheet ($ in millions; fiscal year ends in December)	C1Q24A Mar-24 F1Q24A	C2Q24A Jun-24 F2Q24A	C3Q24A Sep-24 F3Q24A	C4Q24A Dec-24 F4Q24A	C1Q25A Mar-25 F1Q25A	C2Q25A Jun-25 F2Q25A	C3Q25A Sep-25 F3Q25A	C4Q25A Dec-25 F4Q25A	C1Q26A Mar-26 F1Q26A	FY2021A Dec-21 CY2021A	FY2022A Dec-22 CY2022A	FY2023A Dec-23 CY2023A	FY2024A Dec-24 CY2024A	FY2025A Dec-25 CY2025A	FY2026E Dec-26 CY2026E	FY2027E Dec-27 CY2027E	FY2028E Dec-28 CY2028E
Assets																	
Cash and cash equivalents	2,247	2,184	2,286	2,192	1,596	1,790	2,016	1,809	1,849	2,939	2,352	2,387	2,192	1,809	2,757	4,252	6,198
Receivables, prepayments, and other	1,190	1,127	1,323	1,406	1,415	1,535	1,397	1,578	1,347	1,231	1,487	1,420	1,406	1,578	1,644	1,811	1,997
Inventories	1,667	1,786	1,802	1,624	1,813	1,726	1,645	1,577	1,686	1,121	1,339	1,487	1,624	1,577	1,704	1,795	1,918
Other current assets	1,110	1,183	1,187	1,194	1,281	1,305	1,268	1,241	1,154	-	622	1,033	1,194	1,241	1,154	1,154	1,154
Total current assets	**6,214**	**6,280**	**6,598**	**6,416**	**6,105**	**6,356**	**6,326**	**6,205**	**6,036**	**5,291**	**5,800**	**6,327**	**6,416**	**6,205**	**7,259**	**9,012**	**11,267**
Property, plant, and equipment, net	10,304	9,234	8,950	7,762	7,626	7,505	7,331	7,223	7,210	8,713	10,596	10,164	7,762	7,223	7,247	7,340	7,337
Deferred tax assets	218	211	197	188	250	270	239	231	191	353	292	241	188	231	237	151	45
Goodwill and other intangible assets	481	461	552	660	739	722	940	1,368	1,366	377	363	391	660	1,368	1,366	1,366	1,366
Other non-current assets	1,237	1,741	1,808	1,773	1,759	1,950	1,872	2,114	2,094	294	790	921	1,773	2,114	2,066	2,026	1,986
Total assets	**18,454**	**17,927**	**18,105**	**16,799**	**16,479**	**16,803**	**16,708**	**17,141**	**16,897**	**15,028**	**17,841**	**18,044**	**16,799**	**17,141**	**18,175**	**19,895**	**22,000**
Liabilities																	
Current portion of long-term debt	542	534	541	753	57	60	62	86	84	297	223	571	753	86	84	84	84
Current portion of finance lease obligations	48	87	93	90	77	77	71	69	66	0	75	32	90	69	66	66	66
Other current liabilities	111	108	86	109	99	91	79	59	49	2,866	212	147	109	59	38	(2)	(42)
Trade and other payables	2,153	2,105	2,003	2,092	2,195	2,186	1,875	2,154	2,130	0	2,849	2,349	2,092	2,154	2,511	2,644	2,825
Total current liabilities	**2,854**	**2,834**	**2,723**	**3,044**	**2,428**	**2,414**	**2,087**	**2,368**	**2,329**	**3,163**	**3,359**	**3,099**	**3,044**	**2,368**	**2,698**	**2,792**	**2,932**
Noncurrent deferred revenue/advance customer	259	250	242	235	226	219	208	202	196	-	294	267	235	202	196	196	196
Noncurrent portion of long-term debt	1,766	1,687	1,772	1,053	1,071	1,115	1,109	1,065	1,063	1,716	2,288	1,801	1,053	1,065	1,272	1,550	1,828
Noncurrent portion of finance lease obligations	744	445	443	424	426	432	421	487	511	-	270	350	424	487	511	511	511
Other non-current liabilities	1,534	1,412	1,343	1,219	1,224	1,155	1,117	1,036	1,050	2,116	1,670	1,376	1,219	1,036	1,263	1,515	1,767
Total liabilities	**7,157**	**6,628**	**6,523**	**5,975**	**5,375**	**5,335**	**4,942**	**5,158**	**5,149**	**6,995**	**7,881**	**6,893**	**5,975**	**5,158**	**5,940**	**6,563**	**7,234**
Shareholder's equity																	
Share capital	24,078	23,925	23,982	24,025	24,057	24,107	24,180	24,231	23,861	23,498	23,842	24,038	24,025	24,231	23,861	23,861	23,861
Loan from shareholder and other	87	87	136	65	103	189	166	133	165	4	139	114	65	133	-	-	-
Accumulated deficit	(12,868)	(12,713)	(12,536)	(13,266)	(13,056)	(12,828)	(12,580)	(12,381)	(12,278)	(15,469)	(14,021)	(13,001)	(13,266)	(12,381)	(11,626)	(10,530)	(9,095)
Total shareholder's equity	**11,297**	**11,299**	**11,582**	**10,824**	**11,104**	**11,468**	**11,766**	**11,983**	**11,748**	**8,033**	**9,960**	**11,151**	**10,824**	**11,983**	**12,235**	**13,331**	**14,766**
Total liabilities and equity	**18,454**	**17,927**	**18,105**	**16,799**	**16,479**	**16,803**	**16,708**	**17,141**	**16,897**	**15,028**	**17,841**	**18,044**	**16,799**	**17,141**	**18,175**	**19,895**	**22,000**
Check	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: GlobalFoundries: Projected Cash Flow Statement

GlobalFoundries - Cash Flow Statement	C2Q24A	C3Q24A	C4Q24A	C1Q25A	C2Q25A	C3Q25A	C4Q25A	C1Q26A	C2Q26E	C3Q26E	C4Q26E	FY2025A	FY2026E	FY2027E	FY2028E
($ in millions; fiscal year ends in December)	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Dec-25	Dec-26	Dec-27	Dec-28
	F2Q24A	F3Q24A	F4Q24A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26E	F3Q26E	F4Q26E	CY2025A	CY2026E	CY2027E	CY2028E
Cash flows from operating activities															
Net income (loss) - IFRS	156	178	(729)	211	228	249	200	104	164	199	290	888	756	1,096	1,435
Adjustments to reconcile net income (loss):															
Depreciation and amortization	402	396	378	352	335	314	313	311	307	307	324	1,314	1,249	1,407	1,604
Finance expense, net	68	37	(28)	(14)	-17	-18	(10)	(15)	6	(9)	(9)	(59)	(26)	(40)	(40)
SBC expense	51	50	45	42	52	53	56	60	71	71	71	203	273	252	252
Loss (gain) on sale of assets	(28)	(35)	-	(32)	(39)	(37)	(2)	(9)	(2)	0	0	(110)	(11)	-	-
Other adjustments	-78	11	882	(84)	8	18	91	87	38	45	45	33	215	260	280
Change in operating asset and liabilities:															
Change in working capital	(168)	(263)	(91)	(144)	(136)	16	(274)	4	58	45	(37)	(538)	70	(124)	(128)
Customer advance funding - received	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Customer advance funding - repaid	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Interest paid	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Income tax paid	-	-	-	-	-	-	-	-	(58)	(58)	(58)	-	(174)	(174)	(174)
Net cash provided by (used for) operating activities	**403**	**374**	**457**	**331**	**431**	**595**	**374**	**542**	**583**	**600**	**626**	**1,731**	**2,351**	**2,677**	**3,228**
Cash flows from investing activities															
Purchases of property, plant, and equipment	(55)	(109)	(135)	(166)	(159)	(189)	(208)	(312)	(300)	(325)	(350)	(722)	(1,287)	(1,500)	(1,600)
Advances and proceeds from sale of assets	-	-	-	-	-	-	-	-	10	10	10	-	30	40	40
Other adjustments	(115)	(154)	43	(45)	(48)	(140)	(319)	261	-	-	-	(552)	261	-	-
Net cash provided by (used for) investing activities	**(170)**	**(263)**	**(92)**	**(211)**	**(207)**	**(329)**	**(527)**	**(51)**	**(290)**	**(315)**	**(340)**	**(1,274)**	**(996)**	**(1,460)**	**(1,560)**
Cash flows from financing activities															
Proceeds from sale of common stock	-	(2)	-	16	1	(20)	(2)	(30)	-	-	-	(5)	(30)	-	-
Proceeds from (repayments of) shareholder loan	-	-	-	-	-	-		-	(165)	-	-	-	(165)	-	-
Proceeds from (repayments of) debt, net	50	29	(452)	(733)	(36)	(20)	(51)	(20)	70	70	70	(840)	189	278	278
Repayments of lease obligations	(144)	(39)	-	-	-	-		-	-	-	-	-	-	-	-
Proceeds from government grants	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-controlling interest & other	(200)	-	-	-	-	-	-	(400)	-	-	-	-	(400)	-	-
Net cash provided by (used for) financing activities	**(294)**	**(12)**	**(452)**	**(717)**	**(35)**	**(40)**	**(53)**	**(450)**	**(96)**	**70**	**70**	**(845)**	**(407)**	**278**	**278**
Effect of exchange rate changes	(2)	3	(7)	1	5	-	(1)	(1)	-	-	-	5	(1)	-	-
Beginning balance of cash and cash equivalents	2,247	2,184	2,286	2,192	1,596	1,790	2,016	1,809	1,849	2,047	2,401	2,192	1,809	2,757	4,252
Net increase (decrease) in cash and cash equivalents	(63)	102	(94)	(596)	194	226	(207)	40	198	355	356	(383)	948	1,495	1,946
Ending balance of cash and cash equivalents	**2,184**	**2,286**	**2,192**	**1,596**	**1,790**	**2,016**	**1,809**	**1,849**	**2,047**	**2,401**	**2,757**	**1,809**	**2,757**	**4,252**	**6,198**
Check against BS	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of July 31, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

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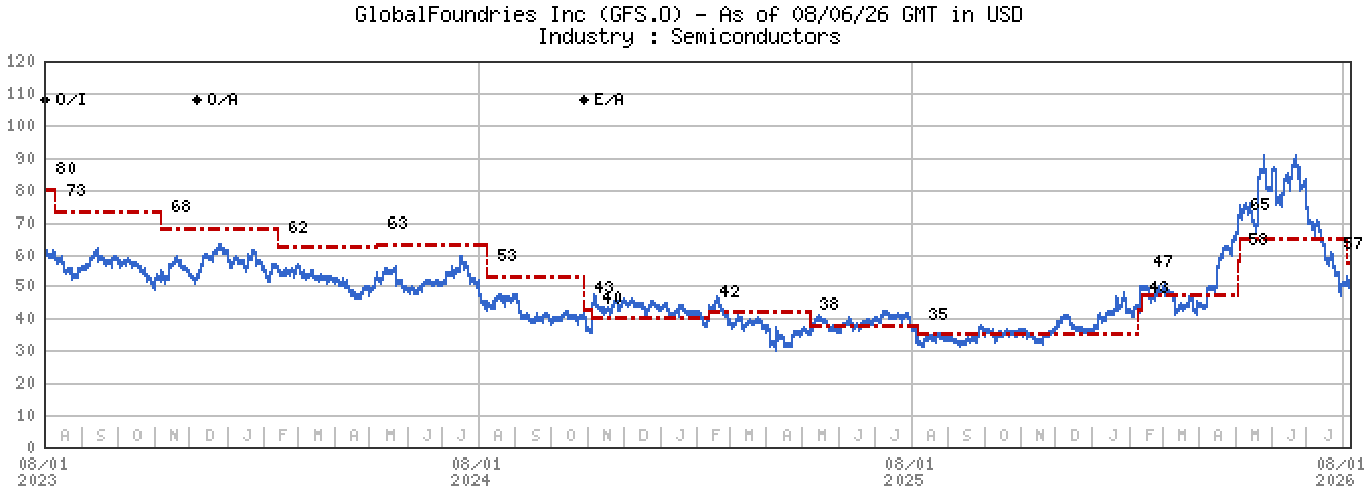
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 11/22/21 : E/I; 3/3/22 : O/I; 12/7/23 : O/A; 10/28/24 : E/A

Price Target History: 11/22/21 : 67; 11/30/21 : 68; 2/8/22 : 70; 3/3/22 : 72.5; 5/6/22 : 65; 5/10/22 : 72; 2/14/23 : 85; 5/9/23 : 80; 8/9/23 : 73; 11/7/23 : 68; 2/13/24 : 62; 5/6/24 : 63; 8/7/24 : 53; 10/28/24 : 43; 11/5/24 : 40; 2/11/25 : 42; 5/7/25 : 38; 8/6/25 : 35; 2/9/26 : 43; 2/12/26 : 47; 5/4/26 : 58; 5/5/26 : 65; 8/3/26 : 57

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/05/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	$482.05
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	$19.61
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	$41.80
Ambarella Inc (AMBA.O)	O (03/29/2016)	$81.85
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	$53.86
Analog Devices Inc. (ADI.O)	O (11/16/2023)	$377.69
Astera Labs Inc (ALAB.O)	O (05/11/2025)	$318.43
Broadcom Inc. (AVGO.O)	O (06/09/2024)	$418.28
Cerebras Systems (CBRS.O)	O (06/08/2026)	$214.30
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	$49.46
Intel Corporation (INTC.O)	E (02/22/2023)	$101.06
IonQ Inc (IONQ.N)	E (04/25/2023)	$39.93
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	$211.02
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	$77.79
Micron Technology Inc. (MU.O)	O (10/06/2025)	$893.19
Navitas Semiconductor Corp (NVTS.O)	U (04/06/2025)	$12.35
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	$219.22
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	$231.15
ON Semiconductor Corp. (ON.O)	++	$76.91
Qorvo Inc (QRVO.O)	E (10/28/2025)	$95.25
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	$157.53
Quantinuum (QNT.O)	E (06/29/2026)	$56.91
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	$1,350.50
Semtech Corp. (SMTC.O)	E (04/06/2025)	$121.25
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	$218.23
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	$66.99
Texas Instruments (TXN.O)	U (04/13/2020)	$277.72
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	$25.19

Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	$274.58
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	$337.07
Synopsys Inc. (SNPS.O)	E (02/27/2026)	$400.82

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.